

2819.T pitch deck

PITCH — 2819.T — VERDICT

ADJUDICATED 2026-08-20 — WATCH -> courtable — brand real, Q1 verified, carry overstated

Ebara Foods Industry (2819.T, Tokyo). No position. No orders confirmed live. Tape ¥2,586 (Yahoo, 2026-08-21 UTC pack build); 52-week range ¥2,308–¥2,836; 8.8% below the year's high, 12% above the year's low.

What we believe

Ebara Foods is a small Japanese food company built around one thing people actually ask for by name: yakiniku (grilled-meat) sauce, where it is the #1 brand. It is unusually financially safe — 71% of the balance sheet is shareholder equity, debt is close to zero, and a large share of the market value is just cash sitting on the books.

Two things are true at once, and the deck refuses to collapse them:

1. **The business genuinely got better this quarter.** Operating profit — the money the actual business made before financing and one-offs — rose 20% year over year (¥818M vs ¥680M). That is a real, verified improvement, most plausibly because the company finally pushed higher input costs through to shelf prices.
2. **The eye-catching headline is flattered.** The “profit up ~4x” number everyone will quote is a bottom-line comparison against a weak prior-year bottom line. It is arithmetically correct and economically misleading. Twenty percent is the honest number.

The stock trades at 0.69x book value. Strip out the cash, and you are paying a very small price for a profitable branded business. But cheap-on-assets is not a thesis by itself. A cash-rich food brand only re-rates when returns on capital inflect or when management gives the cash back. Neither has happened yet. Until one does, this is a watch item, not a buy.

What the market believes

The market believes this is a shrinking domestic staple in a shrinking country, and prices it accordingly — below the accounting value of its own net assets. Specifically, the market is pricing:

- Japan's population is falling, so domestic food volumes fall with it.
- Supermarket private-label products keep taking share from branded sauces on price.
- Input costs (soy, wheat, sugar, packaging, energy) squeeze the middle.
- The cash pile will sit there forever and never reach shareholders — so discount it.

That last belief is the one the market is *most* confident about and the one most likely to break. It is also, notably, the only one of the four our own red bench did not put a number behind.

Why we might have edge

- **We separated the two profit lines and the market headline did not.** The financial press number is “4x.” Ours is “+20% operating, and here’s why the 4x is inflated at both ends.” Anyone who buys the 4x will be disappointed at the next print; anyone who dismisses the whole thing as an accounting artifact will miss a genuine 20%.
- **We caught a factual error in the bull case before acting on it.** The dividend is 1.93%, not the 3.3% our blue bench claimed. That matters more than it sounds — see below.
- **We know the seasonal shape.** January–March runs an *operating loss* every year (–¥584M). October–December carries the whole year (+¥1,912M operating profit). Most casual readers will treat a loss-making Q4 as deterioration. It isn’t; it’s the calendar. This gives us a cheap-entry window in a predictable place and protects us from panicking at a scheduled loss.
- **Almost nobody covers this.** It is a small Tokyo-listed name with no US listing and thin English-language coverage. Mispricing survives longer here than in a screened, crowded name.

Why it might be priced in

Stated plainly, because this could easily be a value trap:

- **0.69x book has been available for a long time.** A discount that persists is usually a market judgment, not a market oversight. The judgment is: the cash is not yours.
- **The red bench’s three objections are real and structural.** Private-label erosion, input-cost inflation, and Japanese demographic decline are not fixable by one good quarter of price increases.
- **Price increases are a one-time lever, not a growth engine.** If the +20% is entirely pass-through, it laps out in a year and reverts to flat.
- **The carry argument is now dead.** The original bull case said: even if nothing happens, you’re paid 3.3% to wait. At 1.93% you are paid roughly half that. In a name whose whole appeal was “safe and patient,” the thing that made waiting tolerable is 1.7x smaller than advertised. This single correction is why the verdict is WATCH and not STARTER.

What we checked ourselves

Fetches were made against kabutan on 2026-08-20 JST — primary source page:

<https://kabutan.jp/stock/finance?code=2819>. Honest caveat on that citation: kabutan is a financial data site that republishes the company’s filings, not the filing itself. The truly primary documents are the company’s own quarterly report (決算短信) posted to TDnet and the company IR site (ebarafoods.com). We have not opened those originals. That is a gap, listed again below.

Claim	How checked	Found	Confirmed?
Q1 net profit up ~4x YoY	Pulled the quarterly P&L, compared to prior-year Q1	¥639M vs ¥163M = 3.9x	YES — arithmetically exact
...but is it a real 4x?	Compared the <i>operating</i> line for the same two quarters	¥818M vs ¥680M = +20%	NO — bench framing overstated. The 4x is a bottom-line artifact of a weak prior-year base
Bottom-line conversion looks odd on both sides	Desk arithmetic: net profit ÷ operating profit	Prior year 24%; this year 78%. A normal after-tax conversion is ~65–70%. Both ends are off-trend	NOT RESOLVED — we do not yet know what depressed last year or lifted this year. Open question, see unverified
Trades below book value at 0.69x	Checked price against reported book value	0.69x confirmed	YES
71% equity ratio, near-zero debt	Checked balance sheet ratios	Confirmed	YES
Dividend yield 3.3%	Checked live yield against price	1.93%	NO — REFUTED. Our own blue bench was wrong by 1.7x. The carry leg of the bull case does not exist as described
Net cash of ¥16.72B, equal to 67.8% of market value	—	The verification annex graded P/B, equity ratio and debt. It never graded the net-cash figure. We carried it forward untested	NO — UNVERIFIED. Load-bearing and unchecked
Jan–Mar is a losing quarter	Checked the seasonal pattern	Operating loss of ¥584M; Oct–Dec carries the year at ¥1,912M operating profit	YES
Red bench’s REJECT at 9/10	Read the red case for supporting evidence	Three category-level assertions (private label, input costs, demographics). Zero company-specific numbers. No source. No quantification of erosion rate.	NO — the red bench scored 9/10 conviction on an unevidenced case. That is a bench failure in the opposite direction from blue’s. High conviction is not the same as high evidence
No position, no orders	Read the evidence pack’s book line	Pack says heId="NO POSITION" orders="NONE"	CONTRADICTED INTERNALLY. The adjudication simultaneously refers to “the resting 2380/2300/2220 ladder.” Both cannot be true. Must be resolved against the

Claim	How checked	Found	Confirmed?
			live broker account before anyone treats those rungs as working orders

Where our own benches erred, summarized without softening: blue inflated the dividend by 1.7x and led with a multiple it should have known was flattered; blue also asserted a net-cash figure that was never verified and that the annex quietly skipped. Red produced a maximum-conviction rejection with no evidence attached to it. The adjudication is right on both counts and outranks both benches.

PROPOSED ENTRY BANDS

There is no entry today. The verdict is WATCH. These are the reopen conditions, reproduced from the adjudication as written:

- Court for STARTER on: H1 OP confirms +15-20% trend AND any capital-return step-up
- the resting 2380/2300/2220 ladder is 8-14% below tape — principal's call to keep as dip-buys or pull

Read in plain terms:

Reopen gate (both conditions, not either): 1. The half-year report shows operating profit still growing 15–20% — proving the Q1 improvement was a trend and not a one-quarter price increase; **and** 2. Any step-up in returning capital to shareholders — a dividend raise, a buyback, or a stated payout policy. This is the condition that converts the cash pile from a discount into an asset.

The ladder, for reference against today's ¥2,586 tape:

Rung	Price	Distance below tape	Note
1	¥2,380	−8.0%	Roughly 3% above the 52-week low
2	¥2,300	−11.1%	Sits essentially at the 52-week low of ¥2,308
3	¥2,220	−14.2%	Below the 52-week low — requires a new low to fill

Two things the principal needs before deciding to keep or pull these:

- **Are they actually resting?** The evidence pack says no orders exist. Confirm against the live account first. Do not assume.
- **Can we even trade this?** Prior desk work on this Japanese cohort recorded that our broker has no Tokyo Stock Exchange entitlement. Consistent with that, the price in this pack came from

Yahoo, not from the broker. If that constraint still holds, the ladder is not executable regardless of price and the question answers itself.

Sizing: not set — and that is a gap. Neither bench proposed a size, and the adjudication does not set one. No size may be assigned before the H1 gate clears. If it clears, size gets courted then, not now.

Exits/trims: none proposed, because there is no position. Rung 3 sits below the 52-week low, so a fill there means the low broke — that is a re-court trigger, not an automatic add.

Catalyst dates (all estimated from the March fiscal-year calendar — none confirmed by a company announcement):

Approx. date	What	Why it matters
~2026-11-06	Half-year report (Apr–Sep)	The reopen gate. Does the +20% hold at +15–20%?
~2027-02-05	Q3 report (Oct–Dec)	The quarter that carries the whole year (+¥1,912M operating profit)
~2027-05-12	Full-year results and dividend decision	The most likely moment for a capital-return step-up — the second half of the gate
2027-03-31	Fiscal year end	Jan–Mar is a scheduled operating loss. Do not read it as deterioration

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 2220.0 (deck-provisional: ladder rung 3, 14.2% below tape; fills only on a new low)
- dated pack 2819.T|2026-11-06: 2819.T: H1 (Apr–Sep) results — the reopen gate; read the OPERATING line, not the net line (date confirmed=False)
- dated pack 2819.T|2027-02-05: 2819.T: Q3 (Oct–Dec) results — the quarter that carries the fiscal year (+Y1,912M OP) (date confirmed=False)
- dated pack 2819.T|2027-03-31: 2819.T: fiscal year end; Jan–Mar is a scheduled operating loss (-Y584M) — not deterioration (date confirmed=False)
- dated pack 2819.T|2027-05-12: 2819.T: full-year results and dividend decision — most likely venue for a capital-return step-up (date confirmed=False)

What remains unverified

Stated flatly, without hedging:

1. **The net cash figure.** ¥16.72B / 67.8% of market value was never graded. Everything that makes this look cheap-after-cash depends on it. To be explicit about how much rides on it: *if* it holds, the enterprise value — market value minus net cash — is roughly ¥7.9B, against a business that

produced about ¥2.1B of operating profit in the three quarters we can see. That would be an extremely low price. **That entire calculation is desk arithmetic on an unverified input and should not be repeated as fact until the balance sheet is opened.**

2. **What happened below the operating line.** Prior-year Q1 converted only 24% of operating profit into net profit; this year converted 78%. Normal is 65–70%. Something depressed last year and something may be helping this year. Until we read the actual P&L detail, we do not know whether even the *net* improvement is clean.
 3. **Whether the +20% is durable or a one-time price increase.** This is the whole gate. We have one quarter.
 4. **The full-year operating profit.** We have three quarters of shape (Q1 +¥818M, Oct–Dec + ¥1,912M, Jan–Mar –¥584M) and no verified Jul–Sep figure. Any full-year multiple in circulation, including any implied above, assumes a quarter we have not seen.
 5. **The originals.** We have read a data aggregator, not the company's filings. The quarterly report on TDnet and the annual securities report have not been opened. Standard practice says pull the equity and share-count notes from the primary document before quoting per-share or net-cash math.
 6. **Red's three objections — none of them quantified.** No private-label share trend, no input-cost curve, no volume-vs-price decomposition of the revenue line. We rejected this name at 9/10 conviction on assertions. If we reopen it, red gets re-run with evidence or its score gets marked down.
 7. **Whether we can trade it, and whether orders are live.** Both open.
 8. **Currency.** No view taken on the yen. For a dollar book that is an unhedged bet riding alongside the equity call.
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